

national, state and local taxes like excise, service tax, state-levied taxes like value-added tax (VAT) and local taxes like octroi and purchase tax. "At present, these various taxes make the system multi-layered, complicated, and burdensome with its cascading effect," says Pratik Jain, indirect tax partner, KPMG. Vijay Kelkar, chairman of the 13th Finance Commission, feels the importance of meeting GST deadline has more to do with the benefits India will get. Quoting a study of the National Council of Applied Economic Research at an executive

body meeting of the Federation of Indian Chambers of Commerce and Industry recently, Kelkar pointed out that 2-2.5 per cent can be added to India's GDP growth with the implementation of a well-designed GST. "The increase in exports can be 10-14 per cent. This demands an energetic action to usher in a well-designed GST system at an early date," said Kelkar.

Industry too has always wanted a tax system which can take away the cascading effect of the various levies and make Indian goods competitive. "We look forward to a tax regime that is fair and uniform, ensures a simple and transparent tax structure, is easy to implement and comply with and does not pose a burden," says

Sumit Banerjee, managing director of ACC Limited.

Yet, despite the increasing importance of the GST, and barely a few months away from the deadline, states and Union territories are locked in a debate over the model of the tax regime and items to be included and excluded from it. There is still no move on constitutional amendments

IF IMPLEMENTED, GST WILL REPLACE A SPAGHETTI BOWL OF NATIONAL, STATE AND LOCAL TAXES.

needed to usher in the GST, and the countrywide information system needed to ensure compliance with the new law is far from ready. Sure, nobody says it is easy to get 35 states and Union territories to agree to a single GST and implement the same by April 2010. However, sustained efforts by the Centre and states over the years would have paved the way for a smooth transition in April 2010. But going by the North Block mandarins, all that has been happening is dilly-dallying over crucial decisions by the empowered group of state finance ministers headed by West Bengal's Asim Dasgupta. A North Block official gives an instance of how for the last several months the committee has been promising to post a draft of the GST model on the Government website. "There is still no sign of the document," says the official.

Of course, Finance Minister Pranab Mukherjee has signalled the Government's intent on meeting the deadline for the new tax regime. "We are trying to arrive at a consensus at the level of the states, some of which are governed by opposition parties," he says. But given the state of readiness, few are convinced of the Centre's ability to have a GST in place by April 2010. Most of the stakeholders are now coming around to favour the shifting of the timeline to 2011.

The main hurdle is the lack of unanimity among states on what taxes should be subsumed in GST and what should be left out. Many states are vehemently opposing the inclu-



Hurdles ON THE WAY

- Lack of consensus among states on items to be included, excluded from GST
- Sharp differences over the model between states
- No move yet on constitutional amendments to usher in GST
- No uniformity in IT infrastructure in states